Propositions of the Law:

This law has three propositions:

(1) **When income increases, consumption expenditure also increases but by a smaller amount.** The reason is that as income increases, our wants are satisfied side by side, so that the need to spend more on consumer goods diminishes. So, the consumption expenditure increases with increase in income but less than proportionately.

(2) **The increased income will be divided in some proportion between consumption expenditure and saving.** This follows from the first proposition because when the whole of increased income is not spent on consumption, the remaining is saved. In this way, consumption and saving move together.

(3) **Increase in income always leads to an increase in both consumption and saving.** This means that increased income is unlikely to lead to fall in either consumption or saving. Thus with increased income both consumption and saving increase.

Table 3. The three propositions of the law

Income Y	Consumption C	Savings S = Y - C
120	120	0
180	170	10
240	220	20

Proposition (1):

Income increases by ₹ 60 crores and the increase in consumption is by ₹ 50 crores.

Proposition (2):

The increased income of ₹ 60 crores in each case is divided in some proportion between consumption and saving respectively. (i.e., ₹ 50crores and ₹ 10 crores).

Proposition (3):

As income increases consumption as well as saving increase. Neither consumption nor saving has fallen.

Diagrammatically, the three propositions are explained in Figure 4.2. Here, income is measured horizontally and consumption and saving are measured on the vertical axis. C is the consumption function curve and 45° line represents income consumption equality.

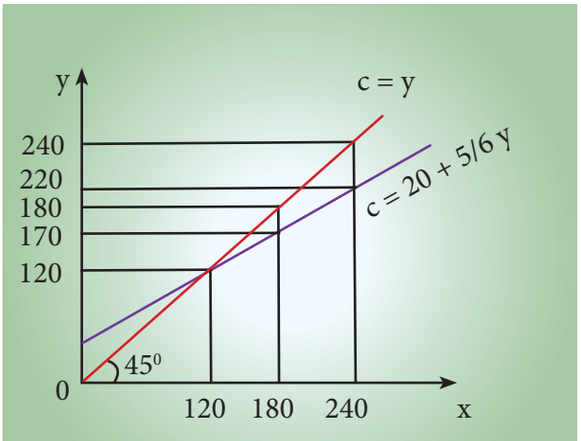


Figure.4.2

Proposition (1):

When income increases from 120 to 180 consumption also increases from 120 to 170 but the increase in consumption is less than the increase in income, 10 is saved.